

# Submetering Operating Benchmark

Two-page benchmark brief | Analysis date: July 18, 2026 | Energy Assets, ista, Techem, Smart Metering Systems, Calisen, and CARMA

SUBVERTICAL THESIS

Building billing platforms and meter-asset owners are economically distinct. Billing platforms earn recurring data and compliance fees with moderate reinvestment; meter owners report higher EBITDA but require materially heavier replacement capital and longer payback.

| METRIC                            | ESTIMATE                                                             | RATIONALE / EVIDENCE                                                                                                                                                                                                                                                                                                                                                              |
|-----------------------------------|----------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Revenue growth                    | Building 6%<br>Meter owner 7%                                        | <b>Rationale.</b> Building platforms grow through indexation, digital refresh, penetration, and data upsell.<br><b>Support / caveat.</b> ista grew sales about 5.2% in 2025; Techem submetering rose from EUR933.5 million to EUR1,041.5 million. <b>CONFIDENCE: MEDIUM</b>                                                                                                       |
| EBITDA margin                     | Building 47%<br>Meter owner 60%                                      | <b>Rationale.</b> Dense billing/data estates have low marginal cost. Asset owners look richer because depreciation and replacement capital sit below EBITDA; service-led and mixed platforms sit lower.<br><b>Support / caveat.</b> Techem reported EUR557 million EBITDA on EUR1.17 billion 2025 revenue; ista evidence supports 40%+. <b>CONFIDENCE: MEDIUM</b>                 |
| Maintenance capex / revenue       | Building 9%<br>Meter owner 30%                                       | <b>Rationale.</b> Building platforms replace cheaper devices, batteries, communications, and IT. Utility-facing owners must replace expensive funded meter estates, making asset intensity the key structural divide.<br><b>Support / caveat.</b> ista reported EUR260 million total 2025 investment. <b>CONFIDENCE: MEDIUM-LOW</b>                                               |
| Post-maintenance capex conversion | Building 81%<br>Meter owner 50%                                      | <b>Rationale.</b> Billing/data platforms convert well after device refresh. Asset owners reserve much more EBITDA for replacement, so high reported margins can yield only roughly 50% conversion.<br><b>Support / caveat.</b> Derived as (EBITDA - maintenance capex) / EBITDA. Central company cases: ista 78%, Techem 82%, SMS 47%, Calisen 51%. <b>CONFIDENCE: MEDIUM-LOW</b> |
| Initial contract tenor            | Building 8 yrs<br>Meter owner 3 yrs                                  | <b>Rationale.</b> Building awards need term to amortize installation. Utility-meter economics may rely on supplier frameworks and removal compensation, so legal form can be far shorter than asset life.<br><b>Support / caveat.</b> CARMA has long-term, inflation-protected contracts; ista and Techem publish no standard term. <b>CONFIDENCE: LOW-MEDIUM</b>                 |
| Effective customer tenure         | Building 14 yrs<br>Meter owner 13 yrs                                | <b>Rationale.</b> Installation, billing history, data migration, and low switching salience extend building tenure. Utility meters can keep earning across supplier changes until physical removal.<br><b>Support / caveat.</b> ista manages 45 million-plus devices; Techem has roughly 62-70 million. <b>CONFIDENCE: MEDIUM</b>                                                 |
| Utilization exposure              | Building Low<br>Meter owner Moderate                                 | <b>Rationale.</b> Installed meters normally earn regardless of daily consumption. Exposure rises when installation teams, field service, and funded rollout pipelines must remain productive or meters are removed.<br><b>Support / caveat.</b> ista, Techem, and CARMA monetize installed units and billing. <b>CONFIDENCE: MEDIUM</b>                                           |
| New-unit / customer payback       | Building 4.0 yrs<br>Meter owner 6.0 yrs                              | <b>Rationale.</b> Cheaper suite devices plus billing/data yield roughly three-to-five-year payback. Funded utility meters pair higher installed cost with modest annual rent, extending payback.<br><b>Support / caveat.</b> Calisen disclosed GBP219 capex per meter and GBP23.8 ARPM. <b>CONFIDENCE: MEDIUM-LOW</b>                                                             |
| B2B vs B2C                        | Building B2B; residential end users<br>Meter owner Predominantly B2B | <b>Rationale.</b> Owners and managers buy building submetering while residents consume and may receive bills. Suppliers procure funded utility meters; households are users, not core customers.<br><b>Support / caveat.</b> ista has 460,000-plus customers against 14 million-plus units; Techem and CARMA market to buildings. <b>CONFIDENCE: HIGH</b>                         |

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HOW TO READ THE UNIVERSE

The six companies span building billing, meter-asset ownership and a mixed metering platform. Their profiles show why similar recurring-revenue labels conceal different field-service, replacement-capital and contract economics.

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| <div>Energy Assets</div> <div>WHAT IT DOES<br/>UK metering-and-data provider inside a wider network construction, ownership, water, fibre, and utility-services platform customers need...</div> <div>ECONOMIC MODEL<br/>Unit: installed asset with attached data/service. Revenue mixes recurring fees with installation and maintenance. Integrated workflows aid retention; project exposure and segment contamination weaken comparability.</div> <div>SUPPORTING EVIDENCE<br/>More than 1.5 million managed assets.</div>                                                                                                                                             | <div>ista</div> <div>WHAT IT DOES<br/>European platform installing apartment meters and allocators, then providing recurring consumption allocation, billing, data, and sustainability...</div> <div>ECONOMIC MODEL<br/>Unit: managed dwelling/device footprint. Regulation-shaped demand and dense estates support margin; access, hardware, resident communication, and data migration deter switching.</div> <div>SUPPORTING EVIDENCE<br/>45 million-plus devices, 14 million-plus units, 460,000-plus customers, EUR1,279 million 2025 sales, and EUR260 million investment.</div>                                         | <div>Techem</div> <div>WHAT IT DOES<br/>European provider installing apartment devices and monetizing recurring heating/water allocation, billing, data, and digital building services for...</div> <div>ECONOMIC MODEL<br/>Unit: serviced dwelling/device set. Regulation-shaped demand, radio infrastructure, and embedded billing deter switching; field service and procurement remain costs. The benchmark excludes energy contracting.</div> <div>SUPPORTING EVIDENCE<br/>13 million-plus dwellings, 62-70 million devices; 2025 submetering revenue EUR1,041.5 million and group EBITDA EUR557 million.</div>        |
| <div>Smart Metering Systems</div> <div>WHAT IT DOES<br/>UK platform funding, installing, and managing supplier-facing smart meters for recurring rent and data income; batteries and EV-charging are excluded.</div> <div>ECONOMIC MODEL<br/>Unit: owned contracted meter. Ownership and workflow integration support tenure; rollout and supplier procurement drive growth and service utilization. Hardware-plus-installation makes replacement capital heavy.</div> <div>SUPPORTING EVIDENCE<br/>Combined group: 6 million-plus meters in 2025. Clean FY2022 base: 2.1 million meters, GBP97.1 million ILARR, GBP63.8 million EBITDA on GBP135.5 million revenue.</div> | <div>Calisen</div> <div>WHAT IT DOES<br/>UK asset owner funding meters for energy retailers; the benchmark centers on MAP Services and excludes EV charging, heat pumps, and other...</div> <div>ECONOMIC MODEL<br/>Unit: owned revenue-generating meter. Policy drives installs; charges can survive supplier switching. Month-to-month legal orders contrast with 10-20-year economics. High EBITDA requires heavy replacement capital.</div> <div>SUPPORTING EVIDENCE<br/>2023: 15.2 million meters, GBP293.9 million MAP revenue, GBP265.4 million EBITDA, GBP355.5 million capex, GBP219 meter capex, GBP23.8 ARPM.</div> | <div>CARMA</div> <div>WHAT IT DOES<br/>Canadian suite-level metering and billing platform helping owners and managers allocate utilities, provide consumption visibility, and administer...</div> <div>ECONOMIC MODEL<br/>Unit: contracted metered suite. Devices, data, billing, and move workflows deter switching; property decisions or service failures cause churn. Capital funds meters, communications, IT, and reinstallation.</div> <div>SUPPORTING EVIDENCE<br/>135,000-plus units in 1,000-plus buildings across four provinces; long-term inflation-protected contracts and 11 million-plus daily reads.</div> |

KEY DILIGENCE QUESTIONS

1. Obtain clean metering-segment financials for Energy Assets and CARMA; both materially widen the observed... | 2. Separate rollout and acquisition capex from true estate replacement at Smart Metering Systems and Calisen... | 3. Confirm standard contract terms, renewal cohorts, and churn for ista and Techem; legal terms are inferred...